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Farming and Farm Income

Updated: 3/12/2025 **Contact:** Kathleen Kassel

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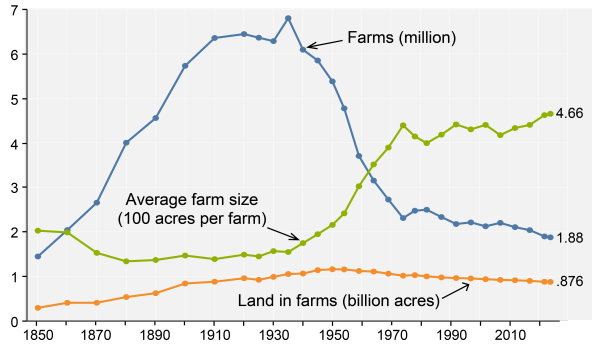
U.S. agriculture and rural life underwent a tremendous transformation in the 20th century. Early 20th century agriculture was labor intensive, and it took place on many small, diversified farms in rural areas where more than half the U.S. population lived. Agricultural production in the 21st century, on the other hand, is concentrated on a smaller number of large, specialized farms in rural areas where less than a fourth of the U.S. population lives. The following charts

provide an overview of these trends, as well as trends in farm sector and farm household incomes.

The number of U.S. farms continues slow decline

by Andrew Keller and Kathleen Kassel
3/12/2025

Farms, land in farms, and average acres per farm, 1850–2024
Million farms, billion acres, or 100 acres per farm



Source: USDA, Economic Research Service using data from USDA, National Agricultural Statistics Service, Censuses of Agriculture (through 2022) and *Farms and Land in Farms: 2024 Summary* (February 2025).

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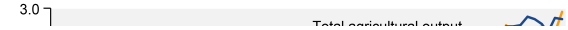
After peaking at 6.8 million farms in 1935, the number of U.S. farms fell sharply until the early 1970s. Rapidly falling farm numbers during the earlier period reflected growing productivity in agriculture and increased nonfarm employment opportunities. Since 1982, the number of U.S. farms has continued to decline, but much more slowly. In the most recent survey, there were 1.88 million U.S. farms in 2024, down 8 percent from the 2.04 million found in the 2017 Census of Agriculture. Similarly, acres of land in farms continued a downward trend with 876 million acres in 2024, down 3 percent from 900 million acres in 2017. The average farm size was 466 acres in 2024, only slightly greater than the 440 acres recorded in the early 1970s.

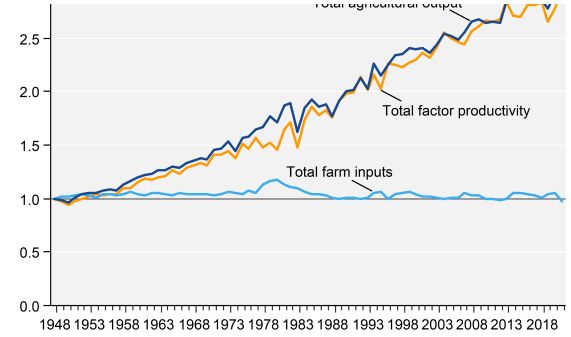
Productivity growth is the major driver of U.S. agricultural output growth

by Kathleen Kassel
1/12/2024

U.S. agricultural output, inputs, and total factor productivity
Index, 1948=1



Technological developments in



Source: USDA, Economic Research Service, *Agricultural Productivity in the U.S.* data series. Data as of January 2024.

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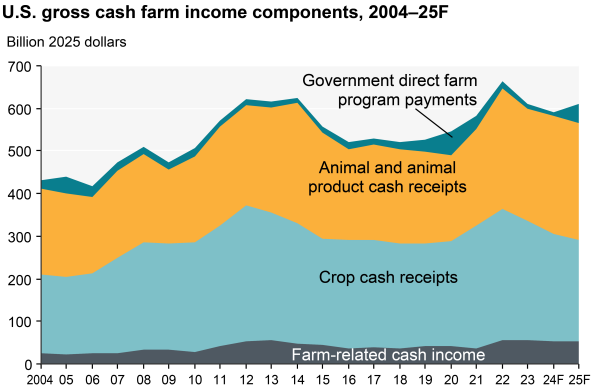
agriculture have been influential in driving changes in the farm sector. Innovations in animal and crop genetics, chemicals, equipment, and farm organization have enabled continuing output growth without adding much to inputs. As a result, even as the amount of land, labor, and other inputs used in farming declined, total farm output nearly tripled between 1948 and 2021.

U.S. gross cash farm income to increase in 2025

by Farm Income Team
2/6/2025



Note: F = forecast. Values are adjusted for inflation using the U.S. Department of Commerce, Bureau of Economic Analysis, Gross Domestic Product Price Index (BEA API series code: A191RG) rebased to 2025 by USDA, Economic Research Service.
Source: USDA, Economic Research Service, Farm Income and Wealth Statistics.
Data as of February 6, 2025.

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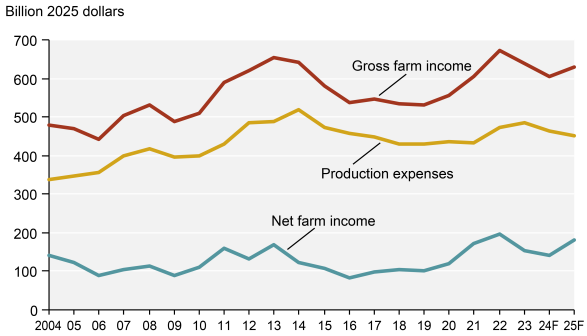
Gross cash farm income (GCFI) is annual income before expenses and includes cash receipts, farm-related income, and Government farm program payments. In inflation-adjusted 2025 dollars, GCFI is forecast at $609.4 billion in 2025, versus $432.5 billion in 2004, with the increase across time primarily due to higher cash receipts. If forecasts are realized, GCFI would decrease by 3.2 percent in 2024 relative to 2023 but increase by 2.9 percent in 2025.

U.S. net farm income to increase in 2025 after a decline in 2024

by Farm Income Team
2/6/2025

U.S. gross farm income, production expenses, and net farm income, 2004–25F



Note: F = forecast. Values are adjusted for inflation using the U.S. Department of Commerce, Bureau of Economic Analysis, Gross Domestic Product Price Index (BEA API series code: A191RG) rebased to 2025 by USDA, Economic Research Service.
Source: USDA, Economic Research Service, Farm Income and Wealth Statistics.
Data as of February 6, 2025.

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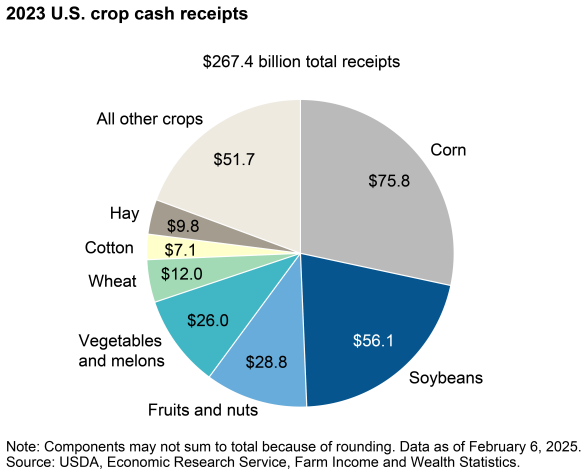
Gross farm income reflects the total value of agricultural output plus Government farm program payments. Net farm income (NFI) reflects income after expenses from production in the current year and is calculated by subtracting farm expenses from gross farm income. NFI considers cash and non-cash income and expenses and accounts for changes in commodity inventories. In 2024, inflation-adjusted net farm income is forecast to have decreased 7.8 percent relative to 2023 to $142.4 billion. However, it is expected to increase by 26.4 percent in 2025 to reach $180.1 billion. Farm production expenses are projected to have decreased in 2024 by 4.3 percent relative to 2023 and to decrease further by 2.9 percent in 2025.

Corn, soybeans accounted for nearly half of U.S. crop cash receipts in 2023

by Farm Income Team
2/6/2025



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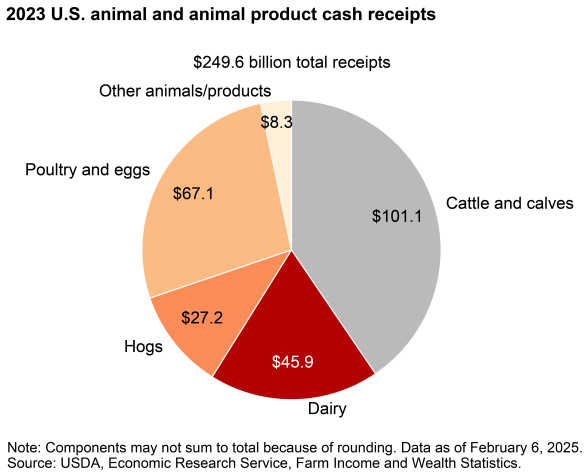
Crop cash receipts totaled $267.4 billion in calendar year 2023. Receipts from corn and soybeans accounted for $132.0 billion (49.4 percent) of the total.

Cattle/calf receipts comprised the largest portion of U.S. animal/animal product receipts in 2023

by Farm Income Team
2/6/2025



Cash receipts for animals and animal products totaled $249.6 billion in calendar year 2023. Cattle/calf receipts accounted for $101.1 billion (40.5 percent) of that total, while poultry and eggs receipts accounted for $67.1 billion (26.9 percent), and dairy receipts accounted for $45.9 billion (18.4 percent).

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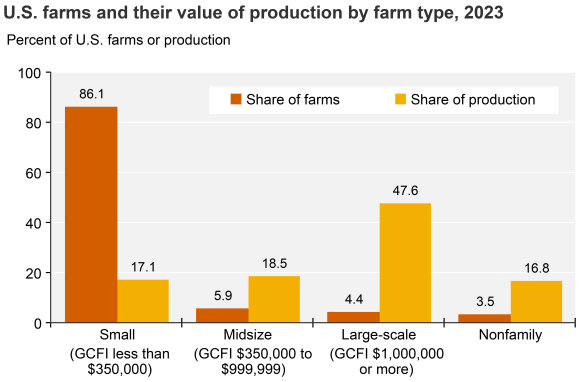
Most farms are small, but large farms account for the largest share of production value

by Kathleen Kassel
12/3/2024



GCFI = annual gross cash farm income before expenses.
Note: Nonfamily farms are those where the majority of the operation is not owned by an operator and their relatives. Components may not sum to 100 percent because of rounding.
Source: USDA, Economic Research Service and USDA, National Agricultural Statistics Service, Agricultural Resource Management Survey. Data as of December 3, 2024.

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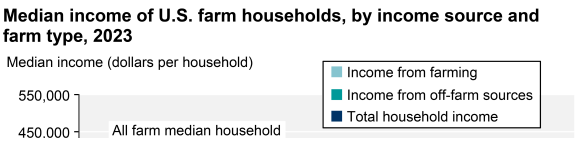
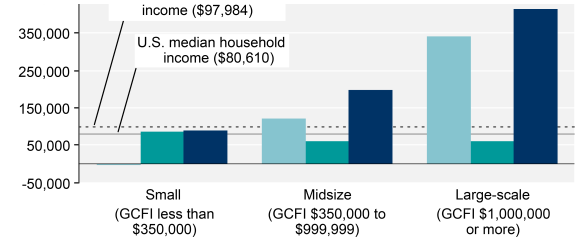
Gross cash farm income (GCFI) includes income from commodity cash receipts, farm-related income, and Federal Government payments. Family farms (where the majority of the business is owned by the operator and individuals related to the operator) of various types together accounted for 96 percent of U.S. farms in 2023. Small family farms (less than $350,000 in GCFI) accounted for 86 percent of all U.S. farms. Large-scale family farms ($1 million or more in GCFI) accounted for about 4 percent of farms and nearly 48 percent of the value of production.

Most farmers receive off-farm income; small-scale operators depend on it

by Kathleen Kassel
12/3/2024



Median total household income among all farm households ($97,984) exceeded the



Note: Farm type is based on annual gross cash farm income (GCFI), which includes sales of crops and livestock, Federal Government payments, and other farm-related income, including fees received by operators from production contracts.
Sources: USDA, Economic Research Service and USDA, National Agricultural Statistics Service, Agricultural Resource Management Survey and U.S. Department of Commerce, Bureau of the Census, Current Population Reports (p60-282). Data as of December 3, 2024.

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median total household income for all U.S. households ($80,610) in 2023. Median household income and income from farming increased with farm size and most households earned some income from off-farm employment. Small family farms account for 86 percent of total farms, with gross cash farm income less than $350,000. The households operating these farms typically rely on off-farm sources for the majority of their household income. In contrast, the median household operating large-scale family farms earned $414,436 in 2023, and most of that came from farming.

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